I like to ask billionaire clients this question: “What is the difference between one billion and two billion dollars?” The answer is not one billion dollars, the answer is NOTHING! There is nothing more you can do with two billion than you cannot accomplish with one billion. To put that at risk is to put the next few generations of your family’s wealth, philanthropy, lifestyle, and security at risk. Why bother?

About that outcome: In 2018, Sawiris said he thought gold prices would rally further, and hit $1,800 per ounce from just above $1,300 while “overvalued” stock markets would crash. By late summer 2024, gold was over ~$2500, up 92%. But the stock market as measured by the S&P 500 was up even more: 94%.

But that’s just the theoretical returns, not the actual ones. Had Sawiris merely bought the ETFs representing gold and the markets, he would have fallen further behind—GLD was up 85.5%, while SPY had gained 105.8%. Blame higher costs of the gold ETF and the advantage of reinvested dividends.

But that is not what this billionaire did: He bought bullion (physical gold), as well as the gold miners. When you own bullion, you must pay for storage, shipping, and insurance. Then you have to hire people to make sure nobody steals any of the billions in metal you have. It seems much more complicated to own gold that way than, say, the GLD ETF.

Next consider the gold miners as a class. Since inception in 1993, the NYSE Arca Gold Miners Index has returned about 40%.[267] Not per year, but in total over the past three decades. During the same time period, gold has returned 650%, while the S&P 500 has gained roughly 1150%. The gold miners are lagging the metal for obvious reasons—execution risk, management and company costs, and so on. Even worse, since the SPDR Gold Shares ETF was introduced in 2004, investors buy it rather than shares of the miners as a proxy for the metal.[268]